

FATAL ASCENT
The tail of Air India's Boeing 787-8 Dreamliner sticks out of the building it crashed into, Jun. 12



BANDEEP SINGH

> **"I've seen a reasonable number of crises in my career, but this is the most heartbreaking one. We need to use this incident as an act of force to build a safer airline"**
>
> **— N. CHANDRASEKARAN**
> ***Chairman, Tata Sons, in an address to the Air India staff on Jun. 16***

The Centre reportedly plans to put it up for sale this year.

Some question the Tatas' decision to buy "an old, sick company", that too in a "low margin, high-risk business". "Airlines have a profit margin of just 1-3 per cent because of competition and high costs. Every major event across the globe will disrupt the business. So, there would be questions raised on the need to run a disproportionate business," says one of the aviation experts quoted above. Changing Air India's culture will take 15-20 years, he adds.

Air India acknowledges that transforming the culture of a 93-year-old organisation is "a complex, long-term endeavour". Over the past three years, the airline has focused on merging four carriers into two, aligning operations, systems and teams. "Some significant organisational changes were introduced to bring professionalism and accountability," the spokesperson said. "This is an ongoing journey."

India's largest airline, IndiGo, which has a fleet of 400-plus aircraft, now flies more than 2,200 daily flights to more than 130 destinations, 40 of them international. Still behind, Air India operates daily flights to 44 domestic and 44 international destinations, and currently has a combined fleet strength of 308 along with its subsidiary, Air India Express. The airline reported revenues of Rs 61,000 crore in FY25. It had posted losses of Rs 4,444 crore in FY24—down 54 per cent from FY22 levels. Campbell claims the FY25 losses were 40 per cent lower than three years ago, though he did not disclose the exact figure. The outlook for growth, nonetheless, remains strong. There are other major concerns it needs to address to successfully overcome the current crisis.

CHALLENGE 2
AGEING FLEET

According to the ministry of civil aviation (MoCA) data, a fairly high 35 per cent of the 199 aircraft operated by Air India (main carrier) are more than a decade old, including 43 planes that have crossed 15 years in service. Many of its Dreamliners are also about 10-11 years old now; the one involved in the Ahmedabad crash was nearly 12 years old. By contrast, 6 per cent of IndiGo's fleet is more than 10 years old. Both carriers are in the midst of the biggest fleet renewals in Indian aviation history, having placed orders for over 1,500 aircraft in recent years. Air India's February 2023 order of 470 aircraft—250 from